neighbouring countries, even through regional groupings like BIMSTEC. Speaking at the Hindu-Buddhist Initiative on Conflict Avoidance organised by the Vivekananda International Foundation in New Delhi, in collaboration with the International Buddhist Foundation and Tokyo Foundation, in September 2015, Prime Minister Modi said:

> You are visiting a nation that is extremely proud of its Buddhist heritage. … My government is doing everything possible to give an impetus to this Buddhist heritage across India and India is taking the lead in boosting the Buddhist heritage.[24]

Delegations from 15 countries participated in this initiative, including those from Nepal, Sri Lanka, and Bhutan. During his visit to Sri Lanka in March 2015, Modi had also visited the World Buddhist Heritage at Anuradhapura, which greatly appealed to the Sinhala Buddhist population of Sri Lanka. In relation to Nepal, India has also been reviving the Hindu identity and encouraging interested sections to make Nepal a Hindu state. There is, however, a persisting hesitation towards Islam in India's approach, at least in practice if not in policy articulation. This is not conducive to the "neighbourhood first" policy, especially when it comes to dealing with Islamic countries like Pakistan, Maldives, Bangladesh, and Indonesia.

On the economic front, it is not easy for India to match the Chinese largesse and delivery efficiency. Attempts have been made to enhance India's grant-inaid budget for the neighbouring countries, but these could not be sustained.[25] India has, however, increased assistance to Nepal, and a number of pending road and rail connectivity projects have been activated. Keeping in view India's displeasure and some public protests, Nepal had earlier rejected the Budhi Gandaki Hydro-Power project which had been granted to